Retail Research	IPO Note
Sector: Healthcare Sector	Price Band (Rs): 1,026 – 1,080
24th April 2023	Recommendation: Subscribe for long term Horizon

SBI Securities
Investment aur Trust, Dono

Mankind Pharma Limited

Company Overview:

Mankind Phrama is the youngest among the 5 largest pharmaceutical companies in India. The Company ranks first in prescription over the last 5 years (with 15% market share in prescription), ranks 3rd in volume terms and 4th in value terms. The company is engaged in developing, manufacturing and marketing a diverse range of pharmaceutical formulations across various acute and chronic therapeutic areas, as well as several consumer healthcare products. Mankind Pharma is the second company to launch Dydrogesterone in India.

Key Highlights:

Robust sales outperforming the IPM: The company's domestic sales between FY20 and MAT (Moving Annual Total) Q3FY23 grew at a CAGR of approximately 12% from approximately Rs 60,942 million to approximately Rs 83,902 million, which is approximately 1.3 times that of the IPM, which grew at a CAGR of approximately 10% from approximately Rs 1,503 billion to approximately Rs 1,938 billion over the same period. Between the FY20 and MAT Q3FY23, market share in terms of Domestic Sales in the IPM increased by 0.3% from 4.1% to 4.3%, which represents the fastest growth in market share among the 10 largest corporates in the IPM by Domestic Sales.

Fastest growth and brand ranking across the key areas: The Company has several products in portfolio which ranks in Top 10 in across key Therapeutic Areas. The Company has grown faster than the IPM in 5 out of its 10 Key Therapy Areas, outperforming the IPM in acute segment with 1.2x growth rate between FY20 – MAT Q3FY23. It has also outperformed the IPM in chronic segment with 1.4x growth rate between FY20 – MAT Q3FY23. Amongst the top 20 highest selling products of the company 19 of the products are the third highest selling brands in the segments. Mankind has 21 product brands in the top 300 brands in IPM which contribute more than Rs 1 bn ending MAT Q3FY23.

Well established consumer healthcare brands: The company's various consumer brands are MANforce, PregaNews, GAS O FAST, Unwanted-72, HealthOK, AcneStar. With market share of 30%/80%/4%/62%/3%/13% ending MAT Q3FY23 respectively.

PAN India presence and group of expert scientist: The company has 15,000+ field force (one of the largest distribution network in IPM) with 12,000+ of SKUs and 75 C&F Agents. 25 manufacturing facility with 4,100 manufacturing personnel's and 42 bn + units installed capacity. 4 R&D Units with 600+ total scientist including 40 scientists holding PhDs in their key areas.

Valuation:

At lower/upper band of Rs 1,026/1,080, the company is valued at P/E multiple of 30.3x/31.9x respectively based on 9MFY23 annualised earnings. The IPO looks fairly valued across various valuation parameters when compared with its close peers. The Investors can SUBSCRIBE the IPO for long term investment perspective.

Issue Details	
Date of Opening	25th April 23
Date of Closing	27th April 23
Price Band (Rs)	1026 – 1080
Issue Size (Rs cr)	4,110 – 4,326
No. of shares	4,00,58,844
Face Value (Rs)	1
Post Issue Market Cap (Rs cr)	41,101 – 43,264
BRLMs	Kotak Mahindra Capital, Axis Capital, IIFL Securities, Jefferies India, J.P. Morgan
Registrar	KFin Technologies Limited
Bid Lot	13 shares and in multiple thereof
QIB shares	50%
Retail shares	15%
NIB (HNI) shares	35%
Employee Reservation	-
Employee Discount	-

Objects of Issue	(Rs Cr.)
Gross Proceed From OFS	4,326
(Less) Offer expenses in relation to the OFS*	-
Net Proceeds*	-

*The net proceed will be received by the selling shareholders, in proportion to the offered shares sold by the respective selling shareholders as part of the offer.

Shareholding Pattern

Pre Issue	No. of Shares	%
Promoter & Promoter Group	31,64,64,857	79.0
Public & Others	8,41,23,583	21.0
Total	**40,05,88,440**	**100.0**

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	30,64,50,146	76.5
Public & Others	9,41,38,294	23.5
Total	**40,05,88,440**	**100.0**

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	30,64,50,146	76.5
Public & Others	9,41,38,294	23.5
Total	**40,05,88,440**	**100.0**

Source: RHP, SSL Research

Risk factors

- Any disruption, slowdown or shutdown in the manufacturing or R&D could adversely affect the business.
- Any increase in cost of the raw material or finished formulation or delay, interruption in the supply of raw material from third party suppliers could affect the business.
- Significant portion of the revenue from operation are derived from the limited number of markets.
- Any introduction of stricter norms regulating marketing practices by pharmaceutical companies could affect the business.
- Exposed to government price controls which could negatively affect results of operations.
- Dependent on third-party transportation providers for the transportation of raw materials and outsourced finished formulations and delivery of the products.

Growth strategy

- Increasing covered market presence including chronic therapeutic areas. The covered market presence grew from 62% in FY20 to 69% in MAT Q3FY23.
- Focus on increasing penetration in metro and class 1 cities.
- Growing Consumer Healthcare Business with the help of distribution channels and brand extension.
- Focus on building alternative channels for growth.
- Continue to develop and invest in digital platforms to enhance doctor engagement.

Revenue Break-up (Rs cr)

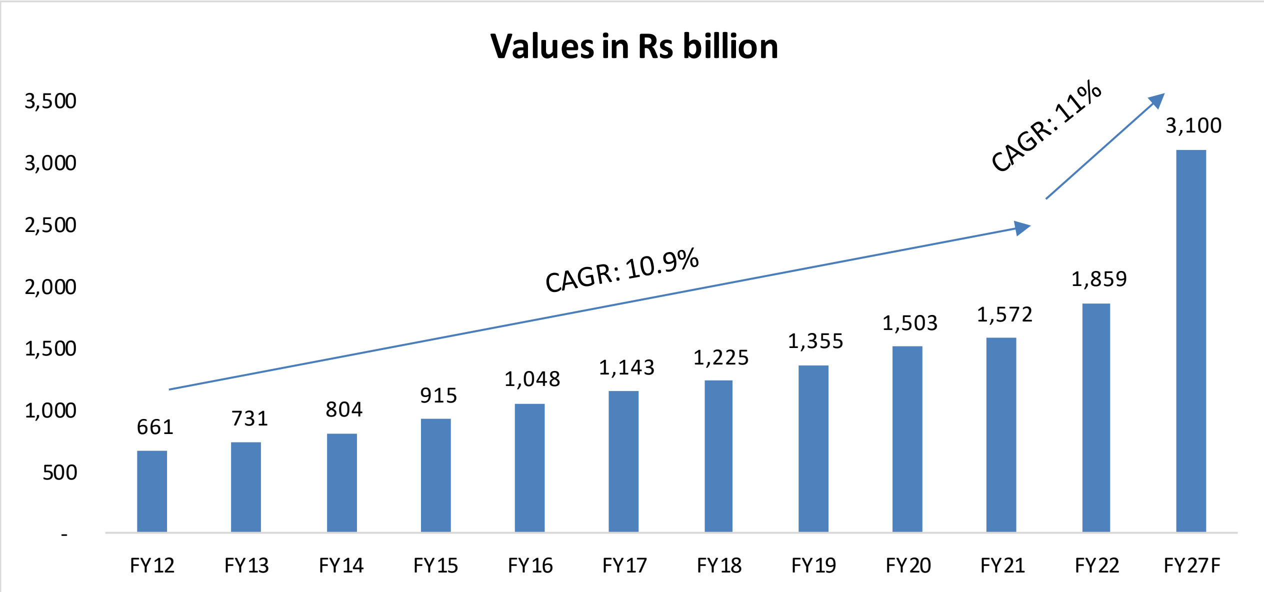
	Domestic Sales (Rs in millions)	As a % of total Domestic Sales	Market share	Market ranking in Covered Markets
Anti-infectives	12,136	14%	5.5%	5
Cardiovascular	10,614	13%	4.5%	4
Gastrointestina	9,199	11%	4.5%	6
Vitamins/minerals/nutrients	7,314	9%	4.7%	2
Respiratory	7,755	9%	4.7%	3
Anti-diabetic	6,928	8%	3.9%	3
Dermatology	5,375	6%	4.0%	3
Gynaecology	6,565	8%	6.6%	2
Pain/analgesics	4,317	5%	2.8%	8
Neuro/CNS	2,297	5%	2.0%	5

Source: RHP, SSL Research

Industry Overview

Overall Market Size and Estimated Growth Rate

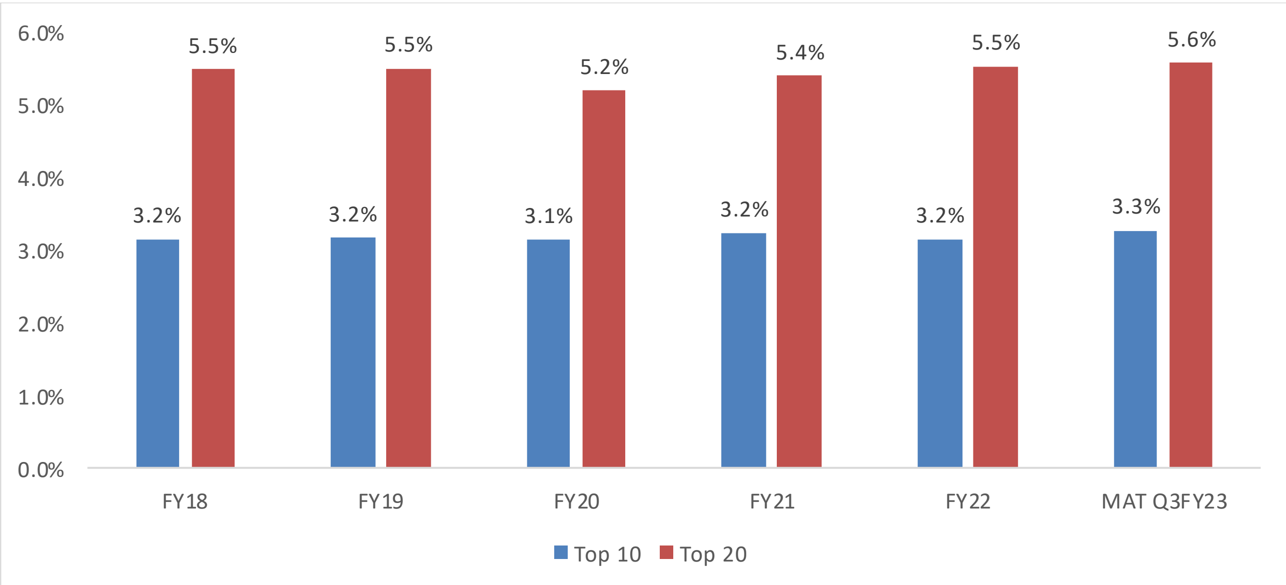
The size of Indian Pharmaceutical Market (IPM) has increased from Rs 660.53 billion in Financial Year 2012 to Rs 1,859.05 billion in Financial Year 2022 at approximately 10.90% CAGR over Financial Year 2012-22. The size of the IPM for MAT Q3FY23 was Rs 1938.38 billion. The IPM is forecasted to grow at a CAGR of 10-11% to reach Rs 3,000 – 3,100 billion by Financial Year 2027.



Source: RHP, SSL Research

Contribution of top 10 and top 20 brands in IPM (FY18 – MAT Q3FY23)

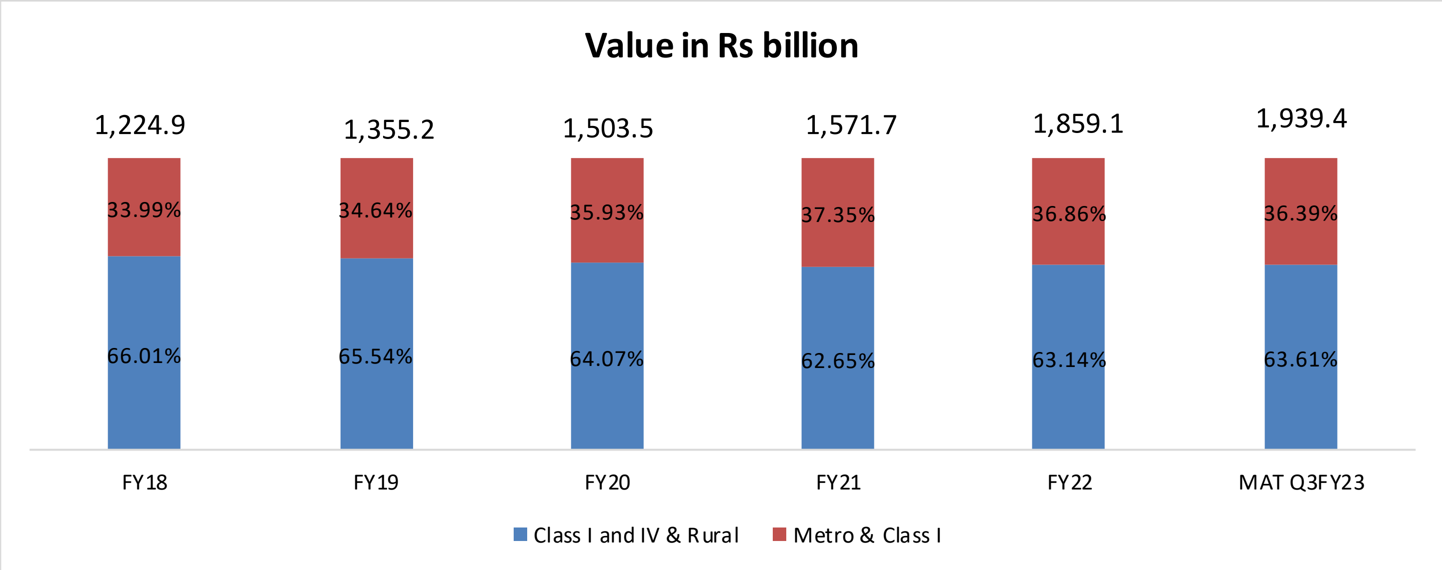
The relative contribution of top 10 and top 20 brands (i.e. individual brand extensions) in IPM has remained range-bound, with top 20 brands accounting for approximately 5-6% of the IPM over FY18 – MAT Q3FY23. Relative contribution of brands (over FY18 – FY22) is attributable to a mix of factors such as (a) physicians and patients' preference for established brands over newly launched products and (b) the supply chain that top / established brands have built over the years.



Source: RHP, SSL Research

Domestic Sales Share by Geographical Split

Distribution of Domestic Sales of IPM between metros and other town-classes has been range-bound between FY20 and FY22 (Metros & Class I cities have historically comprised approximately 62-64% of the market). However, in terms of growth, Metros & Class I cities have witnessed a relatively slower growth of approximately 9.42% CAGR over FY20 - MAT Q3FY23, compared to other town classes that have grown at 10.20% CAGR over the same period. High growth in rural and Class II-IV markets can be attributed to the following - (i) increased access to medicines on account of initiatives by pharmaceutical companies (ii) increase in income and awareness (iii) policy initiatives by government aimed at increasing access to health in these regions.



Source: RHP, SSL Research

Financial Snapshot

Mankind Pharma Limited			
(Rs. Cr.)	Pre Issue	Post Issue	
	FY22	9MFY23 (Annualised)	
Particulars		Price Band	
	1,026.0	1,026.0	1,080.0
Net Sales	7,781.6	8,929.0	8,929.0
Total Income	7,977.6	9,037.1	9,037.1
EBIDTA	2,003.8	1,991.5	1,991.5
PAT#	1,453.0	1,354.6	1,354.6
Equity Share Capital	40.1	40.1	40.1
No of Equity Shares	40.1	40.1	40.1
Face Value	1.0	1.0	1.0
EPS	36.3	33.8	33.8
CMP	1,026.0	1,026.0	1,080.0
Cash and Bank	405.9	455.1	455.1
Debt	868.0	167.9	167.9
Market Cap	41,100.5	41,100.5	43,263.7
BV per share (Rs)	153.7	178.4	178.4
PE(x)	28.3	30.3	31.9
P/BV (x)	6.7	5.8	6.1
Enterprise Value	41,562.6	40,813.4	42,976.6
Mcap/Sales (x)	5.3	4.6	4.8
EV/Sales (x)	5.3	4.6	4.8
EV/EBIDTA (x)	20.7	20.5	21.6
EBITDA Margins (%)	25.8	22.3	22.3
Net Margins (%)	18.7	15.2	15.2
ROE (%)	26.7	20.4	20.4
ROCE (%)	33.9	24.8	24.8
Debt/Equity	0.1	0.0	0.0
Net worth	6,155.2	7,145.9	7,145.9

Source: RHP, SSL Research (Post Issue)

Year	FY20	FY21	FY22
Net Sales	5,865.2	6,212.4	7,781.6
EBITDA	1,448.3	1,659.8	2,003.8
Net Profit	1,056.1	1,293.0	1,453.0
EBITDA Margin (%)	24.7	26.7	25.8
Net Profit Margin (%)	18.0	20.8	18.7

Source: RHP, SSL Research

Peer Comparison

Company	TTM Sales (Rs Cr)	TTM EBITDA (Rs Cr)	TTM Net Profit (Rs Cr)	EBITDA Margin %	RoE %	RoCE%	PE (x)
Mankind Pharma	8,929.0	1,991.5	1,354.6	22.3	20.4	24.8	31.9
Abbott India	17,001.0	3,370.4	2,532.7	19.8	28.3	34.6	18.8
Cipla	73,277.7	14,926.4	7,995.8	20.4	12.1	15.1	9.2
ERIS Lifescience	4,544.2	1,628.8	1,348.6	35.8	21.3	23.4	6.2
Glaxosmi. Pharma	12,556.1	2,104.0	2,591.5	16.8	63.6	27.4	8.1
Ipca Labs.	19,671.7	4,421.4	3,075.2	22.5	16.1	16.5	6.9
J B Chem & Pharm	7,884.7	1,777.3	1,298.8	22.5	18.1	21.1	12.8
Sun Pharma.Inds.	1,32,671.0	21,838.5	12,606.9	16.5	6.8	7.5	18.8
Torrent Pharma.	31,547.0	8,228.0	3,490.0	26.1	13.1	13.2	15.6
Zydus Lifesci.	55,513.1	11,847.6	9,646.3	21.3	26.4	12.3	5.4
Zydus Wellness	6,419.1	1,008.2	738.5	15.7	6.4	6.3	13.2

(Source: RHP, Capitaline SSL Research)

For Mankind Pharma: The data is 9MFY23 annualized

For all others, the data is based on TTM Dec'22 Earnings and RoE/RoCE is as per FY22

CMP for all above companies is based closing price as of 21st April, 2023. For Mankind, the valuation is based on upper price band of Rs 1,080.

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